MODULE I:

HISTORICAL PRECEDENTS OF DEVELOPMENT ISSUES OF INDAIN ECONOMY

INTRODUCTION

The Indian economy is, at present, undergoing far – reaching changes, as it moves from the state of underdevelopment to development. in this phase of transition, it has much to its credit, and is, at the same time, beset with many problems. To understand all this, we first discuss as a background, and we elaborate upon the theme of development to know about the ways whereby an underdeveloped economy transforms itself into a developed economy. By understanding the phenomenon of underdevelopment, it is useful for understanding the problems faced by India during its development process. This will help us in identifying the underdeveloped countries and in recognizing the gravity of the problem these countries face. This will also provide us a perspective to oversee India's placing in the overall context of the underdeveloped world.

OBJECTIVES:

By studying this chapter students will be able to understand

- Difference between economic development and economic growth
- The development issues existed in past Indian economy
- Provide basic understanding about how they overcome development issues in Indian economy.

ECONOMIC GROWTH AND DEVELOPMENT

Economic Growth implies the change in per capita income, while economic development means economic growth plus change. Change here may be welfare changes or distributional changes.

- **Features of Modern Economic Growth; given by Kuznets:**

- High rates of growth per capita product (10 times) and population (5 times).
- Rise in productivity
- High Rate of Structural Transformation: Shift away from agriculture to non-agricultural sectors.
- Increased urbanisation

- **Economic development: - features**

- Process: Social (Control of population), technological (new technology) or economic forces (efficient use of resources).
- Real National Income: Positive relationship between Real National Income and Economic development Stability of price is an essential condition for promoting development.
- Long period: Real national should continue to rise in long run. Accelerates development.

- **Amartya Sen's Concept of Development:**

- He gave the concept in 1980s in his work "Development as Freedom".

- According to him, development would mean if there is:
- Capabilities to function: Entitlements give a right in the society, which further decides their capabilities to function.
- Included freedom: Principal means of achieving development/ Removing un-freedoms like lack of political freedom, famine and under-nourishment)
- Dudley Seers, in his work "The Meaning of Development" (1969), took three indicators which would reflect whether development has occurred or not. The indicators are:
- Unemployment
- Poverty
- Inequality
- Decline in any of them would lead to development
- Denis Goulet introduced three core values of development in his work "The Cruel Choice: A New Concept in the Theory of Development" which are:
- Life sustenance: Ability of a person to meet his basic needs, which can be in the form of reduction in absolute poverty, hunger, etc.
- Self-Esteem: Ability to be a person, that is, kind of things a person enjoys like self-esteem, dignity, etc. In other words, there should not be a feeling of inferiority complex.
- Freedom: Freedom from servitude, person should be free from miseries, exploitation, etc.

Characteristics of an Under-Developed Economy:

- General Poverty
- Dualistic economy
- Demographic features
- Economic backwardness
- Agriculture: Main occupation
- Under-developed natural resources
- Unemployment and disguised unemployment
- Lack of enterprise and initiative
- Insufficient capital equipment
- Foreign trade orientation
- Technological backwardness

SUSTAINABLE DEVELOPMENT

- Amartya Sen was the major contributor in the concept of Sustainable Development. The concept appeared in 1987 in "Our Common Future: The Brundtland Report".
- Sustainable development: Meeting the needs of present generation without compromising the needs of future generation.
- To promote the concept of sustainable development, Ministry of Environment and Forests (MOEF) was set up in India in 1985.

DEVELOPMENT

- It is obvious that the salvation of an underdeveloped economy lies in its development. We, therefore, enlarge upon the theme of development in this chapter. This we do by taking up first the meaning and indicators of development. For a neat analysis of the problems of underdeveloped economy we have to know What is mean by development: in the context of the underdeveloped countries like India, development is defined as a sustained increase in the real per capita income together with an improvement in the distribution of material welfare. This definition involves advancement on two aspects of economic life, namely, income and distribution. As per income the focus is on the rise in the per capita income. this requires a growth rate which is higher than the rate of increase in population. Since the population growth is quite high in the range of two or three per cent, and the income levels very low in these countries, the growth rate of national income has to be sufficiently large to make any significant impact on the dismal income – situation. It is also necessary that the rise in the per capita income should be a sustained one. In other words, the rise should continue over a long period , spread over several decades. Further, the rise in the percapita income must be in real terms. This requires that the rise in the money income should be higher than rise in the price level. it is only then that, on an average, more goods and services will become available.

SUSTAINABLE DEVELOPMENT

- In the context of the definition of development, it may be useful to refer to the concept of sustainable development which is now in common use.
- Definition: Sustainable development is defined as meeting the needs of the present without compromising the ability of future generations to meet their own needs.
- Three Pillars: It rests on economic, social, and environmental pillars.
- Key Principles: Important principles include intergenerational equity, integrating environmental and economic goals, social inclusion, the precautionary principle, and the polluter pays principle.

SUSTAINABLE DEVELOPMENT GOALS (SDGS)

➢ The 17 SDGs were adopted by the UN in 2015 to provide a global framework. They are:

- No poverty
- Zero hunger
- Good health and well being
- Quality education
- Gender equality
- Clean water and sanitation
- Affordable and clean energy
- Decent work and economic growth
- industry, innovation and infrastructure
- Sustainable cities and communities
- Reduced inequality

- Responsible consumption and production
- Climate action
- Life below water
- Life on land
- Peace, justice and strong institutions Partnerships for the goals
- Global initiatives and frameworks

Significant initiatives include the Brundtland Report (1987) which introduced the concept, the Rio Earth Summit (1992) resulting in Agenda 21, the Millennium Development Goals (MDGs), the Paris Agreement (2015), and various conventions like the Ramsar Convention, Montreal Protocol, and the Convention on Biological Diversity.

India's progress, challenges, and initiatives:

- NITI Aayog's SDG India Index: This index tracks state and UT performance on the SDGs.
- Government Initiatives: Schemes like Swachh Bharat Mission and the National Solar Mission are examples of India's efforts.
- Challenges: India faces challenges including resource limitations, inequality, environmental degradation, and implementation issues.
- Strategies: Strengthening data, improving governance, SDG-based budgeting, and public participation are key strategies.
- The concept of sustainable development, while formally defined in the late 20th century, has roots that extend back further. Its origins can be understood by tracing the evolution of concerns about the relationship between human actions, economic growth, and the environment.

➢ Here's a look at the historical development of the concept:

EARLY ROOTS (PRE-1970S)

Early ideas about sustainable resource management, particularly in forestry, emerged in Europe during the 17th and 18th centuries due to concerns about timber depletion. Later, environmentalists like John Muir and Rachel Carson raised awareness about the impact of industrialization on nature, while social thinkers highlighted societal inequalities. Although the post-World War II era focused on economic growth, the negative environmental and social consequences, such as the Great Smog of London and the issues highlighted in Rachel Carson's "Silent Spring," became apparent. In the mid-20th century, there was a growing recognition of the need to integrate economic systems with ecological limitations.

Formal emergence (1970s-1980s)

The connection between sustainability and development became more explicit in the early 1970s. The "Limits to Growth" report in 1972 warned about the potential consequences of continued economic and population growth. The 1972 United Nations Conference on

the Human Environment (Stockholm Conference) was a key event that focused on the link between development and the environment. The term "sustainable development" was introduced in the 1980 World Conservation Strategy. However, the 1987 Brundtland Report, "Our Common Future," significantly popularized the term and provided its widely accepted definition: "Development that meets the needs of the present without compromising the ability of future generations to meet their own needs".

Global recognition and frameworks (1990s - present)

- The 1992 Earth Summit in Rio de Janeiro built upon the Brundtland Report and established a global framework for sustainable development, emphasizing the integration of environmental, social, and economic factors. While the Millennium Development Goals (MDGs) addressed poverty, they were criticized for not fully integrating environmental sustainability. In 2015, the United Nations adopted the Sustainable Development Goals (SDGs) as part of the 2030 Agenda, which are universal and cover a broad range of interconnected social, economic, and environmental targets.
- In essence, sustainable development emerged from a growing awareness of the negative impacts of unchecked economic growth on the environment and society, highlighting the need to balance these factors for present and future well-being.

MEASUREMENT OF GROWTH AND DEVELOPMENT

- When economic development take place, investment increases and the stock of capital increases.
- When total output increases, per capita consumption may increase or decrease
- Some economists suggest that economic growth and economic development means an increase in quantitative aspects such as total output.
- Qualitative measures such as education standard of living are also included by some other economists to measure the economic growth or development.
- Different viewpoints are there to measure the growth and development.

OLD INDEX FOR MEASURING DEVELOPMENT

1)National income as an index

- An increase in real national income is the most convenient measure of economic development because a larger real national income is normally a pre-requisite for an increase in real per capita (Kuznets, Meier and Baldwin)
- But the use of national income as an index to measure economic development has been criticizes due to aggregative grounds.
- It ignored the consumption and distribution of resources
- It does not account for population trends as does per capita income.

2) Per capita income as an index

- Population is an important concern of economic development
- Increase in national income should be greater than the rate of growth of population

- In developing countries having population pressure a rise in per capita real income is better than that of aggregate real income in the measurement of economic development.

3) Per capita level of consumption

- Increase in per capita income need not always increase per capita consumption which affect the standard of living of the people.
- Improving the standard of living of the people is the ultimate objective of economic development. then the per capita consumption level is the most appropriate index of measuring economic development.

UNRISD Indicator of socio- economic development United Nations Research Institute for Social Development tried to develop such indices as would encompass social, political and economic variables related to industrialisation, urbanisation and modernisation.

NEW INDEXES FOR MEASURING DEVELOPEMNT

1)Physical Quality of Life Index (PQLI)

- It was developed for the Overseas Development Council in the mid 1970 by Morris David Morris, as one of a number of measures created due to dissatisfaction with the use of GNP as an indicator of development.
- He used three important indicators
  - **Life Expectancy (LE)**
  - **Infant Mortality (IM)**
  - **Basic Literacy (BL)**
- Morris suggested that since infant mortality refers to death before age one , therefore life expectancy at age one should be used instead of life expectancy at birth.
- These three indicators are averaged to get PQLI i.e ,

  PQLI= 1/3 (LEI + IM + BL)

2)Human Development Index

- The **Human Development Index (HDI)** is a static composite index of life expectancy, education and per capita income indicators, which are used to rank countries into four tiers of human development.
- The index was developed in 1990 by Indian Nobel Prize Winner Amartya Sen and Pakistani economist Mahbub Ul Haq, with help from Gustav Ranis of yale University and Lord Meghnad Desai of the London school of Economics and has been used since by the United Nations Development Program in its annual Human Development Report.

Components of HDI:

- HDI Comprises of three main components

- Life Expectancy Index (LEI): It is the life expectancy at birth, not at age one because infant mortality is not entering in this index as a separate indicator.
- Educational Attainment Index (EAI): It is a combination of adult literacy rate with 2/3 weight and combined enrolment ratio with weight 1/3
- Standard of living index (SLI): It is represented here by a transformation of per incomes are converted into purchasing power parity (PPP). Presently standard of living is being captured by the long transform of per capita income in PPP.

- HDI is an Equi – weighted average of above three components. i.e

  HDI= 1/3 (LEI + EAI+ SLI)
- The geometric mean of the three indexes the cube root of the product of the indexes is the human development index.
- A value above 0.800 is classified as very high between 0.700 and 0.799 high, 0.550 to 0.699 as medium and anything below 0.550 as low.

3) Poverty Index

- The Human Poverty **Index (HPI) was** an indication of the poverty of community in a country, developed by the United Nations to complement the Human Development Index (HDI) and was first reported as part of the Human Deprivation Report in 1997.
- While the HDI measures average achievement, the HPI measures deprivations in the three base dimensions of human development captured in HDI.
  - A long and a healthy life
  - Knowledge
  - A decent standard of living

4)Gender Development Index

- The **Gender Development Index** (GDI) is an index designed to measure gender equality.
- GDI together with the Gender Empowerment Measure (GEM) were introduced in 1995 in the Human Development Report written by the United Nations Development Program.
- The aim of this measurement was to add a gender- sensitive dimension to the Human Development Index (HDI)
- The GDI adjusts the average achievements to reflect the inequalities between men and women in the following dimensions.
  - A long and a healthy life
  - Knowledge
  - A decent standard of living
- Gender Development Index based on data collected in 2018 and published in 2019
- Countries are grouped into five groups based on the absolute deviation from gender parity in HDI values from 1 (closest to gender parity) to 5 (further from gender parity). This means that grouping takes equally into consideration gender gaps favouring males as well as those favouring females.

5) Social Progress Indicate

- SPI refers to social progress defined at the individual level in three dimensions.
- These three dimensions are
    - **Longevity or potential lifetime**
    - **Consumption of private goods**
    - **Access to public goods**

- The index is published by the nonprofit social progress imperative and is based on the writings of Amartya Sen, Douglas North, and Joseph Stiglitz.

6) Genuine Progress Indicator

- Genuine progress indicator is a metric that has been suggested to replace or supplement gross domestic product (GDP)
- The GDI is designed to take fuller account of the well-being of a nation only a part of which pertains to the size of the nation's economy by incorporating environmental and social factors which are not measured by GDP.
- GPI includes more than 20 aspects of our economic life that the GDP ignores.
- The value of activities that add to human progress are added and those which reduce progress are subtracted from the measure.

7) Green Index

- The world banks environmentally sustainable development division has developed a new index called Green Index.
- The Green index attaches a dollar value to each of the three components
    - Produced assets
    - Natural resources
    - Human resources
- It puts a price tag on polluted assets the sum of all machineries factories roads and other infrastructure
- It then calculates the true estimate of a country's wealth taking into account all such resources which do not always show up on traditional economic indicators.

7) Global Multidimensional Poverty Index

- The multidimensional poverty index was launched by the UNDP and the OPHI in 2010.
- MPI is based on the idea that poverty is not unidimensional (not just depends on income and one individual may lack several basic needs like education, health etc.) rather it is multidimensional.
- The index shows the proportion of poor people and the average number of deprivations each poor person experiences at the same time.
- MPI uses three dimensions and ten indicators which are:
- Education: years of schooling and child enrolment (1/6 weightage each, total 2/6)
- Health: child mortality and nutrition (1/6 weightage each, total 2/6)
- Standard of living: Electricity, flooring, drinking water, sanitation, cooking fuel and assets (1/18 weightage each, total 2/6)

- A person is multidimensionally poor if she / he is deprived one third or more (means 33% or more) of the weighted indicators (out of the ten indicators) . those who are deprived in one half or more of the weighted indicators are considered living in extreme multidimensional poverty.
- MPI is significant as it recognizes poverty from different dimensions compared to the conventional methodology that measures poverty only from the income or monetary terms.
- **GLOBAL MULTINATIONAL POVERTY INDEX 2020** was released by the **UNITED NATIONS DEVELOPMENT PROGRAMME (UNDP)** and the **OXFORD POVERTY AND HUMAN DEVELOPMENT INITIATIVE (OPHI)**
- The data of the index is based on the **study of poverty trends in 75 countries.**
- 10 indicators of **OXFORD POVERTY AND HUMAN DEVELOPMENT INITIATIVE (OPHI)** They are:
    - **Nutrition 1/6**
    - **Child mortality 1/6**
    - **Years of schooling 1/6**
    - **School attendance 1/6**
    - **Cooking fuel 1/18**
    - **Sanitation 1/18**
    - **Drinking water 1/8**
    - **Electricity 1/18**
    - **Housing 1/18**
    - **Assets 1/18**

There are three dimensions for poverty they are: Health (1/3) for nutrition and child mortality

- **Education (1/3) for years of schooling and school attendance**
- **Living standards (1/3) for cooking fuel, sanitation, drinking water, electricity, housing, assets.**

PRESENT RATES

1) **Human development index**: Indias current **HDI (Human Development Index) rank** is **130th out of 193 countries**. This is according to the 2025 Human Development Report, which uses 2023 data. Indias HDI values increased to 0.685 in 2023, up from 0.676 in 2022. this improvement has moved India from the 133rd rank in 2022 to the 130th in 2023 according to **the United Nations Development Programme (UNDP)**
2) **Human poverty index**: In the Global Multidimensional Poverty Index India, rank is 66th out of 109 countries. According to the global MPI 2021. The MPI is a measure of poverty across multiple dimensions including health, education, and living.

LET'S GO THROUGH SOME QUESTIONS

1) Growth and development are the two important dimensions which leads our countries growth but there exist some differences. Define development and growth with their differences?

2) Development is measured by using several old indexes, what are they? What are its drawbacks? How was it overcome by our country?

HISTORY OF DEVELOPMENT ISSUES IN INDIA:

'Please understand, your excellency that India is two countries: an India of Light, and an India of Darkness. The ocean brings light to my country. Every place on the map of India near the ocean is well-off. But the river brings darkness to India'.

ARAVIND ADIGA

The socio -economic setup of India exhibits the characteristics of both underdeveloped and emerging market economies of the world. The problems or issues of poverty, unemployment and inequality are considered the biggest challenges to development planning in India. Nearly one-fourth of India's population lives in poor conditions. These developmental issues are the major obstacles in the growth path of the Indian economy. At the same time, India is the fifth-largest economy in the world by nominal GDP ($3.7 trillion in 2024) and the third largest by purchasing power parity (PPP) only next to China and the U.S. Additionally, India is expected to become the third largest economy in the world with a GDP of $5 trillion in the next three years and touch $7 trillion by 2030. The present government has set a goal of becoming a 'developed country' (Viksit Bharat) by 1947. Undoubtedly, to attain all these laudable targets, the government must address developmental issues of Indian economy. The present chapter consists historical precedents of development issues of Indian economy.

HISTORY OF DEVELOPEMNT ISSUES OF INDIAN ECONOMY:

- Historically, poverty, unemployment, inequality, poor infrastructure and low level of human development are the major developmental issues of Indian economy. Of course, the colonial administration (mainly the British rule in In la from 1757 to 1947) systematically ruined India's economy and made India one of the poorest economies of the world. The developmental issues became common in India during colonial rule. We can discuss the history of developmental issues of Indian economy in the following heads:

Development Issues of Indian Economy During Pre-Colonial Period

- In the pre-colonial period, India was one of the richest economies of the world. In this period, there were no formidable developmental issues existed in India. That is, India's economy was stable with rich handicraft industries, self-sufficient agriculture and retained flourishing trade, /**For instance India's share of the world economy when Britain arrived on its shores was 24% and 27% of the world trade, by the time the British**

left these were down to below 4% and 2% respectively. In fact, Britain's industrial revolution was flourished upon the de-industrialisation of India.

- Indeed, history of India begins with the dawn of Indus Valley civilization
- flourished between 3500 BC to 1800 BC. The Indus valley civilisation economy appears to have depended significantly on trade. which was facilitated by advances in transport. Its citizens practiced agriculture, domesticated animals, made sharp tools and weapons and traded in metals and others. The territory of India was ruled by several empires including Maurya Empire (321 -185 BC) who united most of the Indian subcontinent. Between 1 st and 17th centuries AD, India is estimated to have had and the largest economy of the ancient and medieval world, controlling between one third and one fourth of the world's wealth, the a's During the Mughal period (1526—1858 AD), India had experienced ld unparalleled prosperity in history. The gross domestic product (GDP) lial of Mughal India in 1600 AD was estimated at about 24.3% the world an economy, the second largest in the world. By this time the Mughal Empire had expanded to include almost 90 percent of South Asia and enforced a uniform customs and tax-administration system.

Development Issues of Indian Economy Under British Rule:

The British rule in India was marked from the Battle of Plassey in1757 to India's independence on 1 5th August 1947. More specifically, the British rule can be divided into two periods; namely: the rule of the East India company from 1957 to 1858 and the rule of the British crown from 1858 to 1947. The economic policies designed by the Britishers were mainly intended to promote the interests of Britain and enrich their home country. They did nothing for the socio-economic development of India. The colonial administration changed Indian economy from an exporter of finished goods to an exporter of raw materials. Eventually, India became a buyer of manufactured goods from Britain. It resulted in high level of unemployment, poverty and inequality in the country Th ruthless exploitation under British colonial rule completely devastated g India's economy. India had witnessed several developmental issues under British rule. Some of them are listed below:

- Series of famines under British administration: The incidence of the acute level of poverty, malnourishment, and hunger was common during the period of British rule. Under the British Raj, there was a series of famines occurred in the country, The first of these Was in 1770, followed by severe ones in 1783, 1866, 1873, 1892, 1897 and lastly 1943-44 (Bengal famine). These famines led to the deaths of millions of people..
- Dadabhai Naoroji in his 'Drain Theory' which is discussed in his book 'Poverty and un-British Rule in India' argued that the drain of resources by the British Raj was the major cause of India's poverty.
- These deplorable socio-economic conditions revealed the underdevelopment of the Indian economy during the British raj.
- Prevalence of unemployment among labour force of India. The Indian economy under colonial rule became primarily agrarian. The agricultural sector accounted for the largest share of the workforce which was around 70-75%. The manufacturing and the

services sectors accounted for only 10 and 15-20 percent respectively. There was a drastic change in the occupational structure of India during the British administration.

- Additionally, the destruction of Indian handicrafts led to a serious Unemployment problem and the weavers were most seriously
- affected, the selfish interests of colonials completely transformed the structure of the workforce.
- As far as demographic indicators are concerned, Indian people had one of the world's lowest life expectancies, The available data that the life expectancy during British India was 32 years.
- High incidence of malnutrition / undernourishment under British rule in India Existed a large number of infant mortality rates (IMP), maternal mortality rates (MMR) and high death and birth rates among adults.
- Indian people were largely illiterate During the British rule in India, the literacy rate was very low, it was around 16% to 17% in 1947.
- Indian economy was stagnant and poor as per British economist, Angus Maddison, India's share of the world income went from 27% in 1700 AD (compared to Europe's share of 237,)3% to in 1950.
- Pathetic demographic profile of India during the British Raj. India's demographic conditions during the British rule revealed the intensity of developmental issues in the country economy's stagnation and backwardness- Let us observe the vital indicators of the demography of India during the British period.
- Both the birth rate and death rate were as high as 48 and 40 per thousand.
- Due to the high birth rate and high death rate the population growth was stagnant.
- The infant Mortality Rate (IMR) was also very high at about 218 per thousand.
- The Life Expectancy Rate was as low as 32 years while presently it is 70 62 years (2024).
- The literacy rate was jess than 16%which denotes social backwardness and gender bias the economy.

Development issues of Indian economy since independence:

- Of course, the leaders of post-independent India gave crucial importance to eradicate poverty, unemployment, inequality and thereby transforming our economy from a less developed economy to an advanced economy. During the initial stage of post-independent India, the policymakers designed strategic economic policies to address the existing grave socio-economic problems under the leadership of the first Prime Minister of India, Pt. Jawaharlal Nehru. Subsequently, the country witnessed a series of policy initiatives such as the New Industrial Policy Resolution of 1948, Planning Commission (1951), Five Year Plans, welfare-oriented programmes, the strategy of Green Revolution, New Economic Policy and so on.
- In the post-independence period, investments were made in creation of
- irrigation facilities, construction of dams and strengthening infrastructure. Due
- importance was given to establishment of modern industries, modern scientific and technological institutes, development of space and nuclear programmes. however, despite

all efforts on economic front, the country failed to eradicate major developmental issues like poverty, unemployment and inequality due to the following factors:

- Lack of capital formation
- High growth rate of population
- Inadequate infrastructure
- Poor performance of agriculture and manufacturing sector
- Widespread corruption
- Poor social infrastructure, etc

The Challenge of Growing Unemployment

Despite rapid economic growth, unemployment remains a serious issue in both rural and urban areas. Recently, the Covid-19 pandemic has worsened the situation, as many businesses have shut down or reduced their operations, leading to job losses. The unemployment rate was 7.4% in August 2020, compared to 5.4% in August 2019 . According to the National Statistical Office's (NSO) Periodic Labour Force Survey (PLFS) report for the year 2021-22, the unemployment rate for 2021-2022 was 4.1%.

- **Existence of High Level of Inequality**

  India has a high level of income and wealth inequality, which has increased over time. According to the World Inequality Database, the top 10%of income earners accounted for 56% of national income in 2019, up from 37% in 1980. Similarly, the top 10% of wealth holders owned 77% of total wealth in 2019, up from 66% in 2000. High inequality can lead to social unrest, political instability, and lower economic growth.

Conclusion

Currently, India is one of the fastest-growing economies in the world, with a GDP of US$3.7 trillion and a population of over 1.4 billion. The nation has succeeded to address major developmentalissues of Indian economy to a certain extent. The rising income and savings levels, infrastructure development, investment opportunities, huge domestic consumption and younger population (demographic dividend) will ensure growth for decades to come. The Government must adopt economic policies that foster and sustain growth, improve productivity, enhance capabilities of people and facilitate inclusive growth and sustainable development.

Pre-British Period

- The economic conditions of India, before the British came around the middle of 19th century, were almost like those which prevailed in other countries at a comparable stage of industrial development. In some respects, India, in fact was better placed for modern growth.
- Fairly Advanced Sectors: The agricultural sector as also industrial sector were in a high degree of development. While the trade and transport sectors were just satisfactory, banking was quite a developed sector.
- Agriculture: India was predominantly an agricultural country. this is obvious from the fact that more than two- thirds of the males were dependent on land. According to the 1871

census, 56.2 per cent of the adult male population was engaged in agriculture. To these may be added another 12.3 per cent classified as general Laboure's.

- As for its economic level Indian agriculture had attained a high degree of development and was flourishing. Dr. Voeleker in his report on the improvement of Indian agriculture (1889) mentions how Indians cultivated wheat centuries before the English did. The agricultural techniques used were also highly developed. Good agricultural practices were common phenomenon. These related to such facets of agriculture as: land husbandry like keeping land free of weeds, proper timing of sowing and raping operations, rotating the cultivation The agricultural sector as also industrial sector were in a high degree of development. While the trade and transport sectors were just satisfactory, banking was quite a developed sector.
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to political weapon of legislation in 1700 and 1721 to ban the use of Indian printed or dyed calicos and goods of which cotton formed any part.

- As for the level of India's industrial development is concerned it was high. This is amply obvious from the report of the industrial commission. It says 'At a time when the west Europe the birthplace of the modern industrial system was inhabited by uncivilized tribes, India was famous for the wealth of her rulers and for the high artistic skill of craftsmen. And even at a much later period when merchant adventures from the west made their first appearance in India, the industrial development of this country was at any rate not inferior to that of the more advanced European nations'.

- Trade, Transport and banking: Indias trade internal and external was not large principally because of the inadequacy of communication and transportation. Internal trade was restricted to comparatively light and valuable products. There was little trade in bulky and cheap goods largely on account of the high cost of transportation products. There was little trade in bulky and cheap goods, largely on account of the high cost of transportation of these goods. Trade was also less because of the restrictions on the types of goods traded, as also on the distances covered. As far as the external trade is concerned, this too was not much because of the weak internal communication system and shortage of transport facilities. Even then Indian goods found market in far-flung places in the world. Muslin, for example, went as far as Egypt. Dacca muslin was well-known to the Greeks as Gangetika. In Rome too there was large consumption of Indian goods. Other countries with whom India traded were: South-East Asia, Japan, France, Portugal, England etc. Most of the goods exported were industrial in character. These were cotton and silk fabrics, shawls and carpets, artistic and decorative articles, sugar etc. Imports were of small variety and consisted of such items as gold, precious stones, pearls, tea and coffee, dry fruits etc. In its external trade India enjoyed surpluses and received gold and silver in ample quantities as payment for the same.

- In the sphere of transport as also in communication, India's position was not satisfactory in the first half of the 19th century. Roads as such did not exist or existed in unsatisfactory conditions. The most important vehicle in use was the bullock-cart. The Indus and the Ganges were the only river-systems that were navigable. Shipping, of course, had attained remarkably high standards. The Governor-General, Lord Wellesley, writing in 1901, had testified to the excellence of Indian-built ships which sailed to Thames **(**London) in company with the British built ships. The banking system was quite developed. There were individuals and families who functioned as banks. They had come to be known by different names in different parts of the country. Some of the important ones were Jagat Seth, Nagar Seth, Mahajan, Shroff etc. The main instrument of credit was the 'Hundi' i.e., a document which promised to pay to the bearer a certain sum of money on sight (Darshni Hundi) or after the expiry of a fixed period (Mudati Hundi). Big banking-houses also functioned as the receiver and treasurer of government revenues.
- Predominance of Rural Life: Most of the people, around 90 per cent lived in villages. their ways of living characterised the Indian economy. towns were few and far between with a variety of occupations flourishing over there.

- Villages: The Indian economy was almost entirely a rural economy. The villages however were mostly self – sufficient units isolated from outside. Only few goods like salt and some luxury goods such as ornaments were brought from outside. The lack of adequate communications too kept the villages immune from outside contacts. A very important feature of the rural life was fact that majority of artisans was servants of the village. Another predominant aspect of the village life was extremely simple division of labour. This made the skill hereditary.
- Towns: Urban population was small. According to Gadgil's conjecture "Urban population could not have amounted to more than 10 per cent of the total population. The reason for this was the predominance of agriculture and the existence of the bulk of industries in villages. Most of the towns grew up because these were either sacred places or the seats of power or trading centres. In towns depending upon courts luxury goods like gold and silver works, stone, ivory, and wood carving etc. were produced. These towns, however, were marked by features of a modern economy. Another feature was that town economy was an exchange economy. Most of the goods were sold throughout the country or outside. Town people depended upon outside sources like villages for many goods, like food grains and other agricultural products etc. this gives rise to markets and an extensive use of money and credit. The exchange economy of towns had thus become a money economy.

BRITISH PERIOD

- Indian economy, which in the early 19th century had the potential for moving on to the modern stage of economic development slid back to a stage of stagnation in the hundred years of the British rule. In the process it acquired the traits of an underdeveloped economy.
- State of stagnation: The two significant developments that indicate the downturn from the advanced stage were the movement downwards in the per capita income and deterioration in the productive capacity of the country.
- Reduction in per capita income: one striking fact of the emerging scenario of a backward economy was the falling off in the level of per capita income.
- The various estimates, although not in a series form substantiate the point. One set of estimates made by such eminent persons as Naoroji, Atkinson, Baring and Barbour and Curzon, for early years of the British rule to the end of the 19th century, prove without any doubt that the per capita income declined during this period. a similar conclusion emerges from the other set of estimates made by Surendra Patel and K Mukerji for the period of the British rule during the 20th century.
- After 100 years of British rule the literates were a tiny fraction of the population. as per 1941 census the literates were only 17 per cent of the total population excluding children below 10 years. The percentage was however still lower for the rural area and in the case of women.

- A weakened economy: The stagnant per capita income also portrayed the fact that during the British rule the Indian economy had become capable of a higher growth rate. This is evident from several of its aspects.
- With low growth in national income there was very little that was added to the stock of real capital of the country. The rate of net investment at the end of the British period remained stuck at a very low level of 5 per cent of national income.
- The capital stock in fact declined during the second world war when the British used the country's capital equipment very intensively for war purposes with almost no provision for its replacement.
- The partition of the country into India and Pakistan in 1947 gave a further blow to the country's productive capacity.
- For the population of 18 per cent which formed Pakistan, India lost 23 per cent of its territory.
- India also lost fertile lands which grew jute, raw cotton and food grains. The industrial sector had not only become small but also structurally very unbalanced. Modern industries were conspicuous by their absence. Even small scale and cottage industries were passing through very difficult times.
- For most of the industrial goods and more importantly for capital goods India depended upon imports.
- In the non-agricultural sector, the important activities were those associated with services like trade, money lending, transport, government administration, defense etc.
- The stagnating, rather a declining character of the economy during the British rule is also evident from the unfavorable change in its occupational structure. unlike a growing economy where the percentage of workers in agriculture declines and that in manufacturing transport and other services increases the reverse happened in the case of India. Th proportion of working force engaged in agriculture increased slightly and that engaged in non-agricultural sectors decreased slightly. This shows in unambiguous terms that the economy slid down during this period.

Causes of stagnation

Many reasons explaining India's backwardness have been advanced. Such factors as lack of resources, low level techniques, anti-growth religious and social attitudes and institutions, and population - pressure etc. have been put forward as possible causes. We examine these explanations before we pin down the cause of economic stagnation.

- Paucity of resources
- Low level techniques
- Anti- growth attitudes and institutions
- Population pressure
- Governments colonial policy
- Economic drain

Paucity of resources: it has been argued, largely in the past, that stagnation was a direct consequence of the paucity of resources. Of course, a country who does not possess adequate

resources cannot hope to develop. but it does not follow that a country should have all types of resources and in ample quantities for development. This is impossible. countries with less resources have developed. for example, countries like Japan, which are not so rich in natural resources and depend upon imports have developed. As late as 1936 about 90 per cent of Japan's crude oil, 88 per cent of her iron ores, and 11 per cent of her coal were imported. even for her well-known textile industry, Japan depends upon imported raw cotton and wool. Yet Japan did develop despite the fact that it was industrially behind India until 1880. It follows that the industrialization of a country is not necessarily dependent upon the availability of all types of resources in ample quantities. in the case of India, however the resource position has always been much better. Mineral resources, water, and forests are vast. India possesses the largest resources of iron ore, about one – fourth of the total world reserves. In the case of coal too, India is in a comfortable position. If we take iron and coal together, India ranks next to the USA. India ranks first mica and third in manganese ore. In case of hydel power India ranks third in the world. Similarly in forest resources it has a high ranking. No doubt India is deficient in certain resources e. g tin, brass, nickel, etc. but on the whole India possesses ample resources during British rule nothing was done to make use of these resources for the development of the country. It has been estimated that by the time of independence only 1.5 per cent of water resources and 0.5 per cent of iron and coal resources had been exploited. it therefore follows that it makes little sense to explain India backwardness in terms of paucity of resources.

Low level techniques: It is sometimes pointed out that India lagged because it used primitive techniques in different spheres of her economic life. It is said that because of this production remained low. This again is a weak argument. In the first place it needs to be stated that all developed countries used simple low-level techniques in the initial stages of growth. Therefore, there is nothing peculiar if Indian used these techniques.

In the second place one should also bear in mind that before 19th century the skill of Indians in technical arts, compared to other countries, was of no mean order. The question that cries for answer is: why is it that while countries with comparatively lower techniques improved upon them, in India the reverse happened? Thirdly, the weakness of the argument lies in the fact that improved techniques are neither a prerequisite, nor can they exist independently of economic development. No one, not even in the theory, has ever suggested that improved techniques must come before development starts. Nor it is possible to think of high-level techniques existing without a demand for them coming from growing economic needs. In fact, the process of improvement in techniques is only an aspect of economic growth.

Anti – growth attitudes and institutions: some economist like Knowles attribute India's stagnation to her religious social structure. It is argued that in India there are religious customs, practices and social institutions giving rise to castes, the joint family system etc. which foster attitudes and behavior inimical to economic growth. Belief in life after death, the hereditary character of many occupations, restrictions on mobility, lack of interest in worldly material life, etc. are cited as some f the drawbacks in the Indian people. It is said that this have prevented Indians from becoming adventurous and interested in money etc. Vera Anstey seems to say the same thing when she ascribes the causes of stagnation to the 'uneconomic outlook of the people'. There may be some strength in this argument. but it does not explain the entire

situation. How is that Europe, where Christianity offered hell to the rich, made rapid stride? As everyone knows the religion preaches it is easier for a camel to pass through the eye of a needle than for a rich man to enter heaven. Yet nations which accepted this religion became rich. In other countries too, e.g , in Japan where Bhuddism was a significant force, development took place. Of course, in India the Hindu social system has been more restrictive in certain respects. But this society has also allowed attitudes relating to material gains and those relating to God to mingle, without the person suffering from the contradiction. Indians often pray for riches in the morning do worldly business in the day and retire at night, thanking God without their conscience ever being pricked.

Population pressure: Another explanation of backwardness often advanced by persons like Kinsly Davis and Darling is that it is the increase in population which is the villain. It is argued that a rising population, by consuming an increasing proportion of stagnant production, leaves little for investment. Even this argument does not hold water. Although there are no records of population prior to the first census in 1871 one can summarize from later censuses that the population could not have been large and rise in it even if big percentages (through it might not have been the case) could not add much. In 1871 the population stood at 25.4 crores. according to Kingsley Davis in the long period of 60 years between 1881 and 1941 Indian population increased only 55 per cent while the population of Japan doubled during the same period. The population of England and Wales increased more than three times during the 19th century. So compared to these countries during the under-review India's population increased at a slow pace. But what happened in those countries did not happen in India. Development, as indicated by a rise in national income, took place faster than the increase in population in those countries. In India on the other hand national income rose very slowly at about 0.5 per cent year. So, in spite of a small rise in population, the per capita income declined. This leads one to conclude that population rise in the past did not contribute to stagnation. It must be something else which obstructed a faster growth of national income.

Governments colonial policy: It is argued and rightly so by eminent thinkers like Dadabhai Naoroji and Romesh Dutt that the basic cause of India's, stagnation was the policy of the British Government. it was pointed out that while the British gave to India centralized administration a new judicial system a law-and-order agency and thereby created a favorable framework for the country's economic growth, development did not take place. The state apparatus was in fact used in the interest of British industry and against that of the Indian economy. Administrative rules procedures and laws were made to protect largely the interests of British shippers and British manufactures. British also developed roads railways and ports. But these were used for the export of Indian raw materials to England for British industries and for the import of British manufactured goods into the country. Even the establishment of railways was done with imported equipment, thereby positively preventing the growth of the iron and steel industry in the country. Industrial and commercial polies were so designed that not only existing native manufacturing industries were destroyed, but also new industries were prevented from coming up. Heavy import duties on Indian goods entering Britain high excise duties on goods manufactured in India exemption from inland transit duties to British traders etc. amounted to

placing all sorts of blocks in the way of growth of domestic industries local entrepreneurs and native industrial culture.

As if all this was not enough British rulers imposed the free trade principle on the country apparently to provide competitive conditions to British manufacturers against Indian manufactures. behind this façade of equality however British manufactures were in fact made more than equal by virtue of their political power. the Indian manufactures were denied facilities for the establishment of industries. Thus, handicapped competition from Indians was made non – existent. As has been aptly observed by H.H Wilson the British employed the arm of political injustice to keep down and ultimately strangle a competitor with whom they could not have contended on equal terms.

It may, however, be mentioned that during the inter-war period the government did pursue a policy of protection for Indian industries. But this new economic policy however was a case of too little and too late. This protection could be granted only to existing industries which satisfied certain very stringent conditions. No provision was made for starting new industries such as chemicals or machine tools. Further the shift in policy came at a time when home industries and native talent had been completed and when after World War 1 the government's demands for goods had trapped off.

- Economic drain: As part of the anti -India economic policy, the British government squeezed the country of the surpluses from the budget and foreign trade sector. This drain of resources from India to the United Kingdom consisted of various payment for which India did not get any return. On a conservative basis this drain has been estimated to be two or three per cent of India's national income during 1757 to 1939.
- This heads under which this took place were many. for example, before 1833 when the east India company ceased its operations Indian exports to the UK were financed by Indians. The tax collected by the company was used to buy Indian goods for exports to Britain. there were then home charges paid by the Indian government to the United Kingdom. These charges consisted of such payments as pensions to the British who served in India and interest on loans. The Indian government also contracted from burden on the country's economy.
- The payments thus made were in fact the savings of Indians. but India got nothing on it neither the return on it nor the principal itself. It amounted to forcibly taking away of India's savings for the development of Britain. if this surplus had been left with India, she would have been able to attain a growth rate only a little lower than that attained by the United States and the United Kingdom during the nineteenth century. but this surplus went out as exports for which nothing was paid in return. This in the words of Romesh Dutt drained the lifeblood of India in a continuous ceaseless flow. It was this drain that impoverished India.
- It follows from the discussion above that the basic cause of stagnation during the British period was the government policy. A few steps, apparently good on the part of the government such as the establishment of railways, spread of education etc. were in fact largely intended to strengthen those fields of the Indian economy which Britain wanted to suck. As a result of all this Indian economy got stuck in a state of underdevelopment.

Underdevelopment: underdevelopment is a concept derived from development which characterizes developed countries. These countries have high per capita income. Their development potential has been and is being fully utilized. These facts should help us in defining underdevelopment.

Definition: The situation of underdevelopment may thus be described in terms of two elements, namely per capita income and potential for development. As for the per capita income, it is very low in underdeveloped countries. Low income is an important element, it is at best a good indicator, and a symbolic one of the existence of underdevelopment. One therefore agrees with J . Viner who defines an underdeveloped country as one "which has good potential prospects for using more capital, or more labor, or more available natural resources or all of these to support its present population on a higher level of living". Thus, the existence of potential for development and low per capita income of a country taken together can comprehend the situation of underdevelopment.

LOW INCOME AND BIG GAP: An aspect of dismal situation of these countries is the very low per capita income. Equally importantly these incomes, in comparison with the developed countries, pale into insignificance. As per the estimates of the world bank, the per capita income of the low-income economies is as little as $ 380 (1994). for the middle-income economies, it is $ 2520. As for the high-income economies, it is as much as dollar 23,420. India, a part of the low-income economies, has a per capita income of $ 320. Its per capita income is thus lower than the average for the low-income countries. As such its ranking among these countries is quite low. Among less developed countries a head of India are such countries as Sri Lanka ($640), China ($ 530) , and Pakistan ($ 430).

POOR QAULITY OF LIFE: No less satisfactory is the position of these countries in respect of the physical quality of life. This is evident from the high infant mortality, low expectancy, and large illiteracy. These reflect the gross inadequacies of such elementary things as drinking water, health and medical services, educational facilities etc. No wonder, the infant mortality rate (per 1000 live birth) is very high at 58 in the low-income economies, 40 in the middle-income economies, as against a very low at 7 in the high-income economies. Life expectancy at birth is low at 63 years in the low-income countries, 67 years in the middle-income economies as against a high of 77 years in the high-income economies. In respect of adult literacy, the position is no better either. In the low-income economies as many as 40 per cent are illiterate, while in the middle income economies the illiterates constitute17 per cent of the population. in the high-income economies, there are practically no illiterates. India's status in these terms is equally bad, in fact worse with infant mortality at 70, life expectancy at 62 years and illiteracy at 48 per cent. in comparison to other less developed countries, India's position is no better. Sri Lanka is far ahead with infant mortality rate at 16, life expectancy at 72, and adult illiteracy at 10. In the case of China, the figures for the three indices are :30, 69 and 19. However, Pakistan falls behind India with the figures for the three indices at 92, 60 and 62.

MASSIVE POVERTY: Perhaps the ugliest facet of underdevelopment is the abject poverty which holds large many people in its vice grip. in a study by the world bank as many as over a billion (1116million) people are poor, subsisting on a low level of consumption of $ 370 per

person per year (at 1985 prices). This constitutes 33 per cent of the population of the less developed countries. Of these, bulk (633 million), forming 18 per cent of population, is extremely poor, with per capita yearly consumption at $ 275. Of the various underdeveloped regions, the largest incidence of poverty is in south Asia with 520 million poor, of which 300 million are extremely poor. Of all these countries, India is one where poverty is most concentrated with 420 million poor, of which 250 million are extremely poor.

TOO MANY UNEMPLOYED: A serious aspect of the problem of underdevelopment is the very large number of unemployed in comparison with those in the developed countries. There is large open urban unemployment and still larger underemployment in rural areas. Open unemployment is estimated at 10 to 20 per cent of the urban population. This is several times higher than that in the developed countries. And worse is that it is increasing with large migrations from village made possible by increasing transport facilities, rapidly growing population etc. The unemployed is estimated at about one third of the agricultural labor force. Such unemployed do not find full-time jobs. Besides the agricultural sector, this type of unemployment also exists in the non-agricultural sector particularly in traditional sectors. The more serious aspect of the matter is that this type of unemployment is increasing because of fast rising population.

INSUFFICIENT AND WRONG GROWTH: These harsh facts characterize these countries because these countries have, for long in the past, experienced little, almost stagnant growth in their incomes. For example, during the 100 years between 1850 and 1960, the rate of increase in per capita income in these poor countries was almost zero at 0.1 per cent. The low-income economies with about 57 per cent of the world's population continue to get as little as 5 per cent of world's income. Middle-income economies with about 28 per cent of the world's population receive only 16 per cent of the world's income. The rich economies on the other hand, which contain only 15 per cent of the world's population, receive as much as 79 per cent of the world's income.

MAIN CHARACTERISTICS

While the substance of underdevelopment lies in the non-development of resources, this fact exhibits itself in a number of weaknesses of the underdeveloped countries. We describe them to spotlight the various facets of underdevelopment. in this connection it may be stated that underdeveloped countries differ widely in history, geography, social structures and traditions. Therefore, there are large many and a large variety of features that mark these countries. We shall, however, concentrate upon the features which are the basic ones, and which are found in varying degrees in almost all these countries. These characteristics may be listed under three broad groups, namely, those pertaining to the economic aspect of backwardness, the institutional make up and the dual nature of these economies.

ECONOMIC BACKWARDNESS

The principal characteristics that conjure up the underdeveloped nature of backward economies may be summarized under the following seven heads: low income, predominance of agriculture, predominance of primary exports, insufficient capital and traditional techniques,

illiteracy and skill shortage, serious population pressure, and unemployment and disguised unemployment.

LOW INCOME: The one fact that outstands every other is the poverty of the less developed countries. Very low income per capita symbolizes this fact, although this does not bring fully the fact of misery for the vast masses. It is so because the per capita / average income includes also the incomes of the rich. Excluding the incomes of the rich, the average income of the poor comes to be very low indeed. Not only this, but there are also large many whose incomes are even less than this low average because of faculty distribution. They are below poverty line, the destitutes.

No wonder that even the physical existence of the large many people in the economically backward countries is uncertain and unbearable. These people do not have even the stamina to dream of comforts and luxuries. Their main diet consists of cereals with inferior cereals like jowar, bajra being no less important constituents. In the case of developed countries cereals are less important and provide only a necessary part, needed for balanced diet , enriched by large intake of other items like milk, fruit, meat, sugar etc. most of the income of the poor people is spent upon necessities , leaving little almost nothing for health, education, culture etc. governments too cannot find enough resources to provide these facilities for all and sufficiently . Hence, those who are physically fit and efficient are very few. Many remain diseased. illiterates are large many. Very many. Very few cultural activities are these people can afford to or have the capacity to enjoy. Poverty takes its heavy toll in the sense of physical condition and lowers the quality of human beings.

UNDERUSED NATURAL RESOURCES: In the midst of poverty, one finds these countries having natural resources which are far from being fully used. There are, for example, large many well-known resources which are not being used. This is even in the case of land which is not being properly used. No doubt with fast rising population, the land man ratio has become unfavorable. In fact, the position has become worse when compared to advanced countries like Australia, Canada, and the USA. However, the solution which lies in an intensive use of the land is not being applied adequately. There is again almost a complete lack of scientific surveys with regard to the potential benefits of vital resources like water, forest, and other ecologically important features of these economies. Another weakness is the inadequacy of technology being used / developed for discovering new resources or new sites of known resources, or economizing in the use of existing resources, as being done in developed countries.

PREDOMINENCE OF AGRICULTURE: When one unveils the profile of poverty in these countries, one is struck by the predominance of agriculture in their economic structures. In developed countries the contribution of non-agricultural sector is very high, and it is just opposite to the condition of developing countries. A much larger portion of labour force is engaged in agriculture, and a much less in non-agricultural operations, as compared to developed countries. The following figures bear this out. in the early nineties, the proportion (per cent) of active population engaged in agricultural occupations for selected developed countries was the UK; 2, the USA 3; Canada 3; Australia 6; and France 5. As against this, the percentage in some underdeveloped countries was Pakistan 52; Bangladesh 65; India 64; and China 72.

PREDOMINANCE OF PRIMARY EXPORTS: The exports of these countries generally depend upon primary goods. These consist of minerals and agricultural products, mostly the latter. In case of some countries the number of products exported is very few; in some cases, one or two goods provide the bulk of exports. The predominance of primary exports gives rise to three serious consequences. First, the export earnings of less developed countries do not show a rising trend. As the demand for agricultural products is less income elastic there is little or no rise in exports even when incomes are rising in developed countries. The demand for these products is also less price elastic, so that little can be expected by way of rise in exports even when price falls. Second, these countries face a secular unfavorable term of trade. The export goods are nature-based. Their production is undertaken by innumerable small producers in almost competitive conditions. As such their supplies and prices are not amenable to much control/ regulation. As against this the imports of these countries consist mostly of industrial products. Industrial producers are therefore in an advantageous position in bargaining with the importers of the underdeveloped countries. The result is that advanced countries charge more for the industrial products and pay less for the primary products. Third consequences most of the gains in agricultural progress caused by increase in investments and / or technological improvements get passed on to advanced countries through the lowering of agricultural prices, as agricultural producers are at a disadvantage in bargaining in the international market.

INSUFFICIENT CAPITAL AND TRADITIONAL TECHNIQUES: Another glaring characteristics of these countries is the in sufficiency of capital and the use of traditional techniques both of which keep the output per man hour very low. The lowness of capital formation (as also the persistence of traditional techniques) is caused by two principal reasons: the insufficiency of surplus over and above what is necessary to maintain the life of society; and the unproductive consumption of large percentage of the surplus by essentially parasitical classes landlords, money lenders, speculators etc.

ILLITERACY AND SKILL SHORTAGE: No less important is the feature that pertains to the low quality of the population of these countries. The educational system of these countries, including training facilities, is inadequate quantity wise and defective quality wise. The number of literates is small. Teaching facilities in terms of teacher buildings, books, equipment's etc., are grossly short and ill-suited for the improvement of the quality of labor.

SERIOUS POPULATION PRESSURE: A feature with serious implications is the rapidly rising population. It consumes away in increasing share of the surplus leaving meagre amounts for capital formation. In fact , large investments continue to be wastes on merely keeping up the existing low levels of living and public social services like water supply, health facilities etc. the population growth at around 2 to 3 per cent has become a problem for these countries, with no more arable land available for cultivation , and subsequently with man land ratio becoming so adverse that additional workers add little to output.

UNDEREMPLOYMENT AND DISGUISED UNEMPLOYMENT: Another feature of very serious nature is unemployment. it is peculiar to these countries and is of two types. One is underemployment. It is a phenomenon wherein workers do not work fully or full hours of the day throughout the year. This is caused by the lack of work / jobs. So is the case in respect of

the second type, namely disguised unemployment. Under it workers are apparently engaged countries.

INSTITUTIONS AND MARKET IMPERFECTIONS: Institutionally, too less developed countries exhibit certain features which are peculiar to them. Largely the institutions of these countries are rooted in a subsistence economy. The agencies, including households, are accustomed to providing inputs that just suffice for production meant for self-consumption. Very small is the surplus if any. Financing agencies are tailored more to the needs of traders, hoarders and speculators, and the least for industrial entrepreneurship. Eben the government expenditures are mostly on non – development items like police, military etc.

DUALISM OF THE LESS- DEVELOPED ECONOMIES: Another feature is the dualistic nature of many less- developed countries. This feature marks the economic as also the social organization of these countries. Dualism refers to the existence of two sets of economic activities at two levels: traditional and modern.

Traditional sector: this sector is largely a subsistent sector of the economy. We may illustrate its nature by referring to Africa which, like many other countries has been, for long, a picture of traditional static society.

Features of traditional sectors:

- Lack of specialization
- The primary objective of production is to create supplies for self-consumption; there is no motive for the creation of surplus for the market
- Technology is stationary (no change in technology)

Features of modern sector: the modern sector, as contrasted to the traditional sector, is essentially an exchange sector/ economy,

- One is the use of reproducible capital like machines, buildings etc. it marks the dependence of production more on man-made capital, rather than on land which is not man made.
- The existence of wage labor. The workers are not the owners of capital equipment. They only sell their labor for which they get paid in wages.
- Profit making provides the motivating force to the entrepreneurs who undertake production in the modern sector.

CAUSES OF BACKWARDNESS

We have explained above the major characteristics of the underdeveloped countries. Now we discuss the causes of underdevelopment of these countries. In dealing with this subject, one faces the difficulties of pinpointing universal causes applicable to all the less developed countries in the same way as one finds it difficult to characterize these countries in any unique pattern. In fact, the difficulties here are more forbidding. It is for the simple reason that each country has its own history of non-growth unparalleled by another country. Nevertheless, a set

of ideas can be culled from the experiences of both the less developed and the more developed countries. In this way one can enumerate in a general way the factors responsible for the lack of growth in these countries. These causes may be described under three broad heads: political, economic, and socio- cultural.

POLITICAL FACTOR: **Colonialism**

Perhaps the greatest single factor which has obstructed the development of many of these countries is political in nature. These countries until recently were under the political domination of foreign rule. Till as recently as the late forties of this century the economic life of these countries was yoked to the needs and compulsions of foreign rulers. Although most of these countries have secured independence beginning with 1945, these have not as yet shed completely the shackles of a dependent country. For example, they have not totally freed themselves externally from the politics of the industrialized nations and internally from the hangover of the past regimes.

Draining surplus: An important way the foreign rulers prevented the development of these countries was by draining them of their surpluses. These were sucked through various devices: very high payments to foreigners for their work, service personal etc.; such as home charges (i.e , interest, pensions etc. to UK) paid by India to England.

Market for manufactures and sources for raw materials: The colonial countries also exploited the markets to their advantage. They took hold of raw materials and food grains for their industries and labor.

Slow capital- intensive modernization: there was then slow growth of capital-intensive modern sector. Sponsored largely by the foreigners, the modern sector remained confined to such areas as plantations, minerals and mining. these were however looked upon as sources of exports only the foreigners. A few capital-intensive projects to lay down railways were also undertaken. but these too remained small as these were meant only to serve the limited needs of trade for moving agricultural products from the interior of these countries to ports and imported manufactured products from the parts to the interior of these countries. No efforts were made to expand these sectors to overshadow the domestic traditional industries.

ECONOMIC OBSTACLES: There are various economic factors which have caused backwardness in these countries.

Capital deficiency: among the factors that became short in supply the most important in the acute deficiency of capital. The vicious circle of poverty, low income, low saving, low capital, hence low income has prevented these countries from building up a desirable stock of capital. In most countries the rate of capital formation has ranged around 5 per cent of national income at the of their independence. as an illustration, one may state that in India in the second half of the 19th century, while the saving rate was estimated at five per cent the rate of investment was less at around three per cent. The remaining, around two per cent, was wasted in acquiring unproductive assets like precious metals, precious dresses, arts, crafts, etc. as also for ostentatious living.

Low -level technology and skill – shortage: allied to the deficiency of capital and in part consequences of it, there are two further inhibiting factors: low level of techniques and shortage of skilled labor. Both factors are as many symbols as causes of backwardness.

Absence of entrepreneurial class: Another factor, an entrepreneurial class or an industrial class to which submeter attached a key role in development is almost conspicuous by its absence in these countries. Commercial classes did abound in these countries. but they knew only how to make money and quick money at that by trading in the existing products.

Institutional inadequacies: Alongside the factor -shortages are the institutional inadequacies which stood in the way of modernization of these economies. For centuries economic institutions have served these subsistence and pre-industrial economies. These could not be otherwise, because no other institutions were needed. The backwardness of the past has, therefore given to these countries' institutions totally inept for development tasks.

Socio-cultural hindrances: steeped in the pre-industrial (pre -industrial phase being identified as one with 60 per cent or more of labor force engaged in agriculture) the societies in these countries have grown such social and cultural traits that hinder economic development.
Inhibitive environment: the milieu has been such as limits the flowering of native abilities for economic growth. Quite often certain institutions like the caste and joint family as in india restrict the manpower and their occupation within the strictly defined limits. Nor could leave joint family so easily.
Contempt for labor: these societies mostly feudal have built resistance to labor, in particular to manual labor. Social status comes to be associated with non-manual work and ownership of assets like land and other property like houses, jewelry etc. it is thus obvious that a variety of factors have caused backwardness in these countries. These flow from the political exploitation of these countries from the economic weakness of these economies and from the obstructions of social and cultural nature.

VICIOUS CIRCLE OF POVERTY

In one cull the essence of underdevelopment from the various features and causes of backward economies described above one comes up with a startling formulation as given by Nurse, namely 'A Country Is Poor Because It Is Poor'. This a few worded statements sums up the predicament of these countries and has been termed as the vicious circle of poverty.

Nature and cause

- Circular and cumulative process: Poverty of the people in these countries has been conjured up as a circular process. A situation of this sort can be grasped easily by illustrating it with the economic state of a poor man.
- He is not enough to eat; therefore he is underfed, and his health is poor. This means his capacity to work is low. Therefore, he is poor.
- Capital deficiency: The various forces operating in underdeveloped economies can be pigeonholed in the prevalence of low productivity, which in turn associated with the deficiency of capital.

- The capital is not forthcoming because both the supply forces and the demand forces are weak in their operation.

Supply side vicious circle :

Low income_ low savings_ low investment_ capital deficiency_ low productivity_

Demand side vicious circle:

Low income_ low demand_ low investment_ low productivity_ back to low income

LET'S DISCUSS SOME QUESTIONS.?

1) Give a brief note on education as development indicator?
2) Discuss briefly the basic issues in economic development
3) Elucidate the history of development issues of Indian economy?
4) Make an overview of real income and education as development indicators?

POLICY REGIMES

How economies grow and change:

For an underdeveloped economy to develop two things must happen. One, its output should grow over a long period. Two, its economic structure should change to acquire the characteristics of developed countries such as an increase in the contributions of industries to the economy's total output. It is this growth plus change that constitutes development.

Forces of growth

The forces that increase output are associated with such factors as capital technology and human skills. To understand the growth process, we may analyze the way these factors operate to increase the output and how the increase is sustained over a long period. To explain and illustrate this we may take up the case of a typical underdeveloped economy. Such an economy has natural resources largely land that are fixed in quantity. It has simple and few pieces of capital equipment. Its technology is given and is largely primitive. Its human resources consist of a large quantity of labor, mostly unskilled.

Operation of diminishing returns

In this state of affairs, an increase in output can take place only with an increase in all the factors of production. Since with given technology these factors are combined in a certain proportion, an increase in them should take place in that proportion. roughly one can say that if all these factors are doubled, output will double. But it should be noted that with the doubling of labor, output per worker remains the same despite doubling of the total output.

But it is extraordinarily difficult to expand all the factors in a proportionate way. For example, it is not possible to increase land as per our needs it is fixed. in our economy capital stock too is fixed. in our economy capital stock too is fixed. And so is technology. The only

factor which let us suppose can increase is the quantity of labor. If equal doses of labor are increasingly applied to fixed land and capital the output will become subject to diminishing returns. That is the increase in output will be at a diminishing rate. This is because each worker will be equipped with smaller amounts of land and capital. In other words, more laborers will be farming each acre of land, and each laborer will have fewer tools to work with. Thus, as a result of diminishing products the total product will rise slowly. After a point, however, the increase in marginal product becomes less than the average product. This not only reduces the total product but also the average productivity or per capita product of the worker. Thus, both in terms of total product and per capita product the economy takes a downward turn.

OVERCOMING GROWTH HURDLES

An increase in capital stock, an advance in technology and an improvement in the skill of labor can offset or forestall diminishing returns. As a result, a larger output an take place and higher productivity per worker can be achieved. With every given progress in the factors of production, total product and productivity per worker having risen will again be subject to diminishing returns. But every time this happens the growth – forces will postpone their full operation. This happens because the very assumptions or conditions of the law of diminishing returns namely, fixity of land and capital and technology are destroyed by the dynamic forces of growth, namely additions to the capital stock progress in techniques of production and improvements in the skills of labor.

Efficiency in growth

While growth is on or output is increasing, it is essential to ensure efficiency in the use of resources. This makes for minimum costs in terms of the use of factors of production. This can be achieved through such an allocation and reallocation of resources as it can take the economy through changes that are necessary for efficient growth. For example, to promote such a production it is necessary that at every stage of growth old industries and old techniques fade out and new industries and new techniques be ushered in. Similarly, product mix should continuously change to meet the changing requirements of the growing economy. For example, with rising incomes of the people consumption pattern changes with a lesser percentage of the expenditure on cereals and other food items and larger percentage of expenditure on durable goods like TV, motor cars etc. Similarly, raw materials needs of industries undergo change.

STABILTY IN GROWTH

For growth to be sustained over long periods it is necessary also to provide for demand for the output. Without this growth process can break down. For example, at macro level this involves maintaining aggregate demand in line with the rising output. This boils down to ensuring investment corresponding to saving alongside the balance between the demand for and the supply of consumer goods. In the market economy this objective is pursued through movements in market prices and appropriate monetary and fiscal policies. in a planned economy the balancing is done ex-ante in the plans.

Thus, economies grow with the expansion in growth – forces associated with capital technology and human skill. growth is efficient if resources are collected / reallocated

corresponding to changes necessary for further increase in production and for higher levels of consumption. growth is stable with adequate demand forthcoming to balance the supply of goods and services.

STRUCTURAL CHANGES

Along with growth in income development is associated with changes in the structure of growing economies. These changes transform major aspects of these economies such as productive capacity and national income by industrial origin pattern of employment and composition of trade. These in turn show themselves in the levels and distribution of incomes as also in the consumption patterns of the people. Together these indicate that these countries are shedding off the characteristics of backwardness and are in the process of climbing higher levels of development.

INCREASE IN PRODUCTIVE CAPACITY

A change of basic importance is the increase in the productive capacity of the country. This takes place because of two developments. One relates to the stock of physical capital. Since with increase in per capita income, saving – rate is raised it becomes possible to plough an increasing amount of resources into capital goods like, buildings, roads, machines etc. second is the improvement in human capital. This is made possible with availability of large facilities for education, research and training. This results in the upgradation of labor skills, advancement on the scientific and technological fronts and modernization of people's attitudes.

Productive capacity expands also to encompass institutional set ups of the country experiencing growth. In fact, while increase in physical capital provides wherewithal for the institutional set-up the increase in human capital provides knowledge and personnel for growth – promoting institutions. These institutions span many activities like collection and disbursement of labor resources etc. the relevant institutions take on the forms of banks, investment – houses, joint – stock companies, stock exchanges etc.

PROGRESSIVE PRODUCTION STRUCTURE

With growth sustained over long periods production structure undergoes radical changes in several respects. One such aspect is national income by industrial origin. W It is for the simple reason that most of the economy's growth is caused by the increase in industrial output. This happens because industries are subject to higher productivity increases due to such factors as the operations of increasing returns. Another major area affected is the pattern of employment. The proportion of working force engaged in non-agricultural sectors increases tremendously whereas in agricultural sector it falls equally tremendously. Another aspect that undergoes big changes is the composition of foreign trade of the country. In exports industrial goods begin to form a major proportion. This is because the rapidly expanding supplies of industrial goods seek foreign demand in addition to domestic demand. In imports of raw materials and other goods, wherein the country has less comparative advantages, start figuring prominently. All these changes mark advances of the economy towards higher levels of development.

HIGHER LIVING AND REDUCED INEQUALITY

The transformation of the economy induces permanent changes in the living of the people. These take the form of higher standards of consumption and lessening income inequalities. This far-reaching implications for the economic and social life of the country. The high per capita income is a sure guarantee of a high saving rate and as a consequence a high investment rate. The high income also ensures a consumption pattern with cereals and other food items very low in the expenditure scale and comforts and luxuries very high in the scale. At the high-income stage, income inequalities cease to be as large as these are at the low-income stage of development. Even if the degree of inequalities is the same in both the high- and low-income stages of development, the misery and tensions associated with inequalities are far less at the developed stage. The reason is that at the developed stage even the poor have sufficient to meet their necessities as also some comforts.

Structural changes thus signify that the economy is a progressive one sustained growth over the long period and structural changes go hand in hand pointing to the development of the economy.

FACTORS OF GROWTH

The description of how an economy grows brings us to the question of the factors that contribute to the growth of a country. These factors may be described under four heads: natural resources, human resources, capital formation, and technological advance. Besides these factors relating to the supply side there are two additional considerations

Need to ensure full capacity utilization and efficient allocation of resources. While this is the general list there is a special need for the provision of an appropriate institutional environment to enable the growth process to proceed smoothly and quickly. The way each one of the factors and considerations contribute to growth may be detailed upon.

Natural resources: consisting of climate, soil, rainfall, mineral deposits and sources of power, these provide the natural base and constitute the fundamental factor in the capacity of a country to grow. To an extent these can be augmented by international trade, but all resources are not tradeable. However, despite their general fixity or scarcity their availability can be increased. Such an increase can be visualized in several ways. One, there are resources which can be renewed with proper conservation practices. Arable land, pastureland and timber land are some of the examples of resources that can be used again. There are two resources that can be added. for example, there exist deposits which are not known. when they discovered these augments the supply of natural resources. Similarly with irrigation double or Trible cropping becomes possible. This adds to the cultivated area. Three, increase in quantity and improvement in quality of these resources have been made possible by technological advance. for, example new techniques have led to greater economy in the use of scarce resources. Further, more efficient acquisition of resources has resulted in lower cost and greater supplies. Again, substitutes like synthetics have caused saving of scarce resources. Natural resources are thus flexible in supplies despite their scarcity.

HUMAN RESCOURES

The size and quality of labor are of vital importance in determining the productive capacity. The size is relevant in providing labor force to work with capital and on natural resources. Generally, a growing size should be helpful. But in a given situation there is an optimum number that ensures the highest average productivity. Beyond that number a falling marginal product raises the national product at a lower rate and lowers the average productivity of workers. Thus, an increase in population is not always a blessing.

Quality of population depends upon its health, vigor, education, training, morale etc. provision of pure drinking water, medical facilities, education and training opportunities etc. are tantamount to investment in human capital as distinguished from investment in physical capital like machines, tools etc. It has been estimated that the return in terms of output has been as high or even higher from human capital than from an equal investment in physical capital. This conclusion is becoming increasingly valid with the advancement of technology and sophistication in products. The educated trained and alert labor force is very essential to man the complicated machines and to manage the complex economic life of growing economies.

CAPITAL FORMATION

The capital stock of a country determines in a large measure how many laborers of that capable of producing. Real capital per worker shows its output – capacity regardless of the skill of the workers. As such capital stock is of crucial formation. In fact, it is this stock again which conditions the growth of human capital in terms of the building, equipment, books etc. which makes available to educational and training institutes. Again, the indirect or round about production which capital goods make possible is a basic means to enhance productive efficiency.

Of course, the size of output associated with capital depends upon the capital output ratio i.e. the relationship between net investment and the resulting increase in production. If for example this ratio is 2:1 then every two rupees of net investment in year 1 makes the economy capable of producing one of additional output in year two and succeeding years. This ratio depends upon the pattern of investment and technology. for example, in a heavy industry like steel with a high capital-intensive technology the capital output ratio is considerable. On the other hand, in light consumer industries with low capital intensity output per unit of capital is much higher. Thus, given a pattern of development with technology which could be varied within limits, a larger capital stock should enable a country to secure a larger output. From this it follows that for growth to proceed it is necessary that an increasing amount of resources should be used for building capital stock.

TECHNOLOGICAL ADVANCE

Technical progress that is turning out to be a better product at the same cost or the same product at lower cost or both contributes to the increase in output. New knowledge of production methods gets embodied in new machines and new equipment capable of producing more goods or new goods. As an illustration a country may every year produce enough capital goods to replace the existing worn-out capital stock, i.e sufficient to equal depreciation. in this case

output capacity remains the same year. Suppose however that there is growth of knowledge so that as the equipment wears out it is replaced by different and more productive equipment. In this case national output will grow because of knowledge rather than because of the accumulation of more capital.

While technical knowledge is an independent factor there is no doubt about the fact that capital formation and technical advance are closely related processes. The development and application of new products or new productive techniques typically entail investment in new machines and equipment. But the idea behind the technical advance that there are more efficient ways of doing things has its distinct place in the production profile of a country. This idea can be robbed at home more effectively by referring to an example where no additional capital and in fact no capital is involved. Modern crop rotation practices and contour ploughing, for example, contribute greatly to output although they do not necessarily entail the use of more capital equipment.

ENSURING FULL CAPACITY- UTILIZATION

Besides the four factors namely natural resources, capital formation and technological advance, bearing on the supply side of the growth – process there are two additional considerations to be kept in view, one is the need to ensure that the existing capacity is fully utilized. Otherwise, national output will be less than could be possible. To avoid underutilization of capacity it is necessary to maintain aggregate demand at the level of full employment of productive capacity. This boils down to the necessity of seeing that the expenditure on consumer goods matches the supply of consumer goods and that increase in productive capacity or investment equals saving. In case of raising investment is not matched by rising saving consumption expenditure may outstrip consumption goods resulting in an inflationary rise in prices and thus destabilizing the economy. in a market economy monetary and fiscal policies are used. in a planned economy the same aim can be pursued by providing ex-ante in plans the required division of total incomes meant for consumption and for saving.

EFFICIENT PRODUTION

The second consideration is to ensure efficient production through proper allocation of resources. This involves two steps. One is related to the allocation of resources on the production side of the growth process. When a country is growing there are some industries which become obsolete just as some workers' skills become out of date. New industries take their place requiring new skills. To avoid wastages and quicker changeover from the old to the new, it is necessary number of resources get allocated.

The second step concerns the change in the economic structure to suit the changing pattern of consumption. With rise in income growth, it makes possible the package of consumption goods that people consume undergoes change. Beyond a certain level of income, the proportion of expenditure on food items falls and that on non-food items like consumer durables increases. To meet the changing pattern of consumption structure of industries producing consumer goods as also those supplying inputs to them must change. Otherwise, production will be less efficient, for the non-conformity of industrial structure to the changing consumption patterns may result in the non-utilization of some resources.

APPROPRIATE ENVIRONMENT

Broadly this pertains to the agencies that organize resources for growth and the attitudes of the people towards economic activities. Organizing agencies, namely, government, business leadership, labor leadership can promote growth seeking. A good government can for instance frame suitable policies, prepare right kind of plans, create opportunities for entrepreneurial abilities to flower etc. It can also make production relations pro-growth by changing land tenurial system creation of infrastructural facilities etc. it can help growth by promoting institutions to mobilize finances and channel investments in the desired directions. Business leaders with drive can break new grounds in products, techniques in markets etc. A growth – prone labor leadership may regard boosting production as important an objective as sharing of the output.

No less important are the attitudes of the people towards work earnings and spending. These can promote development if these are based on economic rationale i.e, desiring more work for more income for more expenditure and for more saving. A community that respects hard work and prides on honesty has a consciousness favorable for rapid progress.

Growth thus requires factors like natural and human resources, capital formation and technological advance. It is alco necessary that the productive capacity is fully utilized production is efficient and the agencies and people's attitudes are pro-growth.

MEASURES FOR DEVELOPMENT

In uplifting a backward -looking low level economy to a high -level progressive economy efforts of various sorts have to be made. We may explain the same under the following heads.

Increasing capital formation: since growth or increase in output is the basic requirement for raising incomes of the people, it is necessary that the supplies of factors bearing on production are increased. One and perhaps the most important factor is capital stock. Both physical and human. Physical stock increase will mean more capital per worker than at present. This will enable the workers to produce more, which in turn will raise their productivity and income. This requires that the saving rate of the economy is stepped up substantially from the present low rate so that the rate of capital formation can be raised significantly. Indias present saving rate for example is in the range of 20-24 per cent of the gross domestic product (GDP). This needs to be raised to around 30 per cent to make a worthwhile impact on the capital stock of the country. To the extent it is not possible to do so in the short period of a few years, foreign capital may be sought. of the two forms of capital namely, debt and equity the direct investment should be encouraged. It brings with it advanced expertise and most modern technologies.

Improving human capital: Another component of capital stock of a country is the human capital. It helps in raising production, but more importantly it is essential for the development of innovative technologies. Apart from the highly educated and trained personnel, it is also important that the knowledge and skill -level of the mass of the people are raised. As has been proved by the experiences of the highly industrialized countries, this strengthens the base of the economy, which in turn quickness the growth rate and raises the efficiency and quality of products. In India for example apart from increasing the highly skilled personnel, there is

comparatively a greater need for rising the literacy level of the masses because almost half of the population is illiterate. in fact, in the case of the large many in the working age (15to 65) the health status also needs to be improved much to make them physically fit as producers.

PRACTICE SESSION: QUESTIONS

Very short type questions

1) Define policy regimes
2) How can you define development indicators
3) What are development issues
4) Write a note on institutional framework
5) Define poverty
6) Write a note about life expectancy
7) What are underdeveloped countries

SHORT ESSAY OR PARAGRAPH QUESTIONS:

1) Discuss briefly the basic issues in economic development.
2) Explain the significance of institutional framework reforms in economic development
3) Elaborate basic indicators of development
4) Elucidate the history of development issues of Indian economy
5) Discuss the policy regimes in the context of Indian economy
6) Explain the challenges of poverty and unemployment.
7) Discuss the component of health as development indicator in the context of India.

ESSAY TYPE QUESTIONS

1) How can you differentiate between economic growth and development? Bring out the major issues in economic development.
2) Discuss elaborately history of development issues of Indian economy